MARKET ENTRY BRIEF

Should a Korean sunscreen brand enter Indonesia in 2027?

Market sizing, competition, consumers, channels and regulation for facial sunscreen in Indonesia — with a recommended go-to-market plan.

Prepared for	**Haneul Skin (fictional client used for this portfolio case)**
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Date	1 November 2026
Method	Desk research (BPS, Compas, Jakpat, Snapcart, Momentum Works, BPJPH, industry reports), two-way market triangulation, sensitivity analysis. All model inputs are in data/assumptions.json.

Note: the client brand is fictional. Market data are from the public sources listed on the last page; figures marked as assumptions are analyst estimates and are stress-tested in Section 8.

1. Executive summary

Recommendation: GO — but as a focused online challenger, not a mass-market launch. Facial sunscreen in Indonesia is a ~US$305M market (Rp5.27 trillion) that is growing fast, fragmented, and sold mostly online. The realistic prize for a new premium-mass brand is **US$1.2M a year by year 3** (range US$0.6M–US$1.7M), which justifies entry only with a lean, online-first model and a local partner for registration.

- **The market is large and still growing.** Two independent methods put 2026 retail value at US$243M–US$366M. Tracked e-commerce sunscreen sales jumped 72% from H2 2023 (Rp530 bn) to H1 2024 (Rp914 bn).
- **Demand is real but shallow.** 75% of women and 42% of men use sunscreen, yet only about a third of women apply it daily — the growth lever is converting occasional users into daily users with formats that feel good in heat and humidity.
- **No one owns the category.** The top four brands hold only ~26.5% of e-commerce sunscreen sales. Local brands lead (Wardah, Azarine, Facetology); Skintific shows a foreign-founded brand can reach the top four through TikTok-first marketing.
- **Price is the battlefield.** Leaders sell at Rp10k–21k per 10 ml. A Korean brand cannot win on price; it should sit at Rp89k–129k per 40 ml with a visible reason to pay more (texture, tone-up, sensitive-skin claims, K-beauty credibility).
- **Two platforms are the market.** Shopee (54%) and TikTok Shop + Tokopedia (38%) hold ~92% of e-commerce GMV.
- **Regulation is the critical path.** A BPOM notification through a local registrant is mandatory before sale. Halal certification for cosmetics became mandatory on 17 Oct 2026; on 16 Oct 2026 the government announced a proposed extension to 17 Oct 2028 that still needs formal publication. Plan to certify anyway — it is also a purchase driver.

Decision summary

Question	Answer
Is the market big enough?	Yes — TAM ~US$305M; serviceable market (online, Java, premium-mass) ~US$28.8M.
Can a new brand win share?	Yes, if focused: fragmented leaders, creator-driven discovery, low switching costs.
How?	Hero SKU, Shopee Mall + TikTok Shop, affiliate creators, ingredient-led listings, Java first.
What could kill it?	Price war from local brands, slow BPOM/halal approval, under-funded creator marketing.
What to decide next?	Pick the local registrant/distributor and budget months 0–6 (Section 7).

2. How big is the market?

Published estimates for the overall **skin care** market cluster around US$3 billion for 2025, with one outlier. No public source sizes facial sunscreen on its own, so we estimate it two ways and compare.

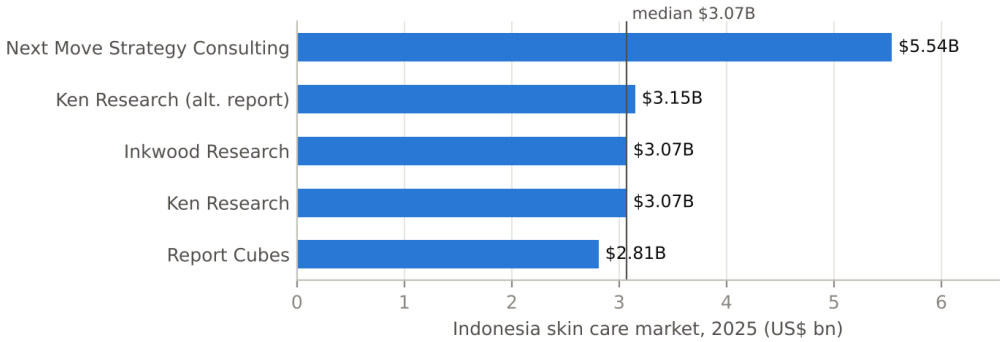


Figure 1 — Third-party estimates of Indonesia's skin care market, 2025. Sources: see page 'Sources'.

Bottom-up: women and men aged 15–34 (BPS 2025 projections: 43.3 M and 45.6 M) × share using sunscreen (Jakpat: 75% / 42%), split into daily users (Snapcart: 35% of women; 10% of men assumed) and occasional users × units per year (4 daily, 1.5 occasional — assumptions) × average realised price (Rp40,000 per unit — assumption), plus 25% for users aged 35+. Result: **Rp6.34 trillion**.

Top-down: Compas tracked Rp914 bn of e-commerce sunscreen sales in H1 2024. Doubling for the full year and growing 25% a year (assumption) gives Rp2.86 trillion online in 2026; dividing by e-commerce's ~68% share of skincare purchases gives **Rp4.20 trillion**.

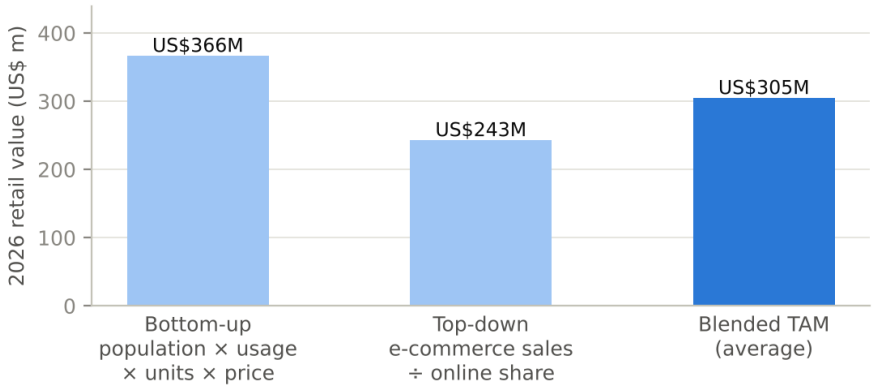


Figure 2 — The two methods differ by 41%; we use the average and report the range. Cross-check: US$305M is ~10% of the US$3.07B skin care market — plausible for one core category.

Serviceable and obtainable market. The client can realistically serve shoppers who buy online (68%), live on Java (55.65% of the population, BPS SUPAS 2025) and buy in the Rp80k–130k tier (25% of value — assumption). A year-3 share of 4% of that segment is the base case; for reference, the #4 brand nationally (Skintific) holds ~5.2% of all e-commerce sunscreen sales.

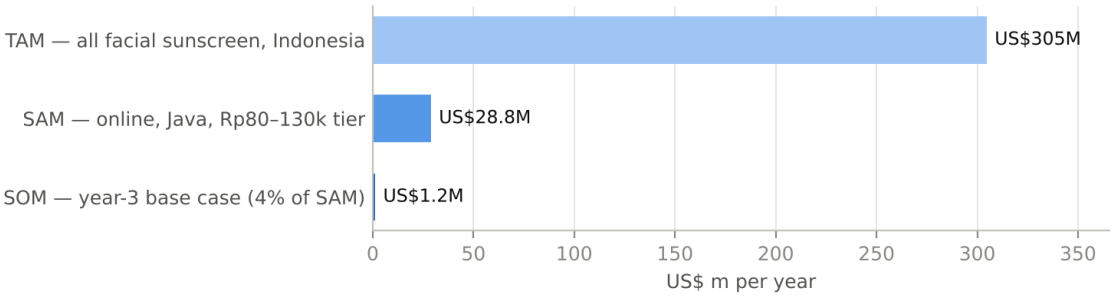


Figure 3 — TAM US$305M → SAM US$28.8M → SOM US$1.2M (≈ Rp20 billion, roughly 180k units a year at Rp109k).

3. Who buys, and why

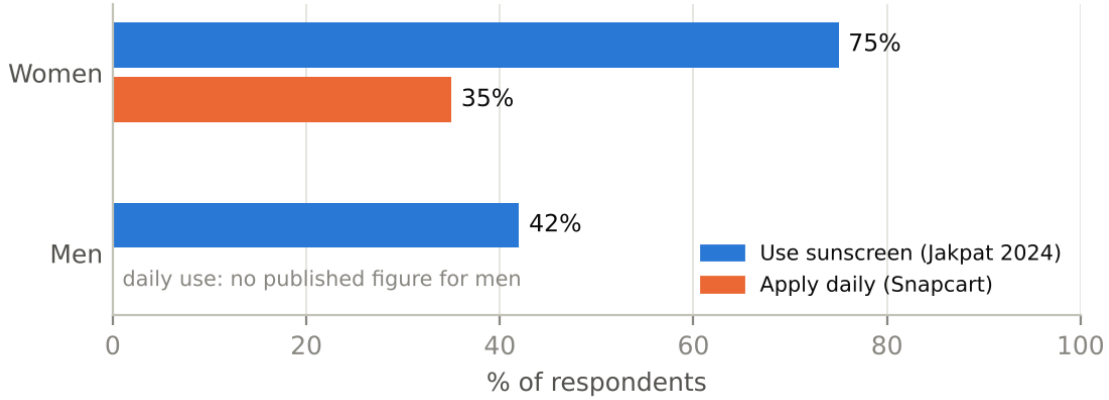


Figure 4 — Sunscreen use by gender. Sources: Jakpat Beauty Trends 2024; Snapcart survey of Indonesian women.

Sunscreen is now a core routine product: in Jakpat's September 2025 survey it ranks in the top three skincare products after cleanser (91%), and its importance grew from 2024 to 2025. Women run longer morning routines led by cleanser and sunscreen; men keep simpler routines — a later opportunity for a no-white-cast, matte formula.

Key insights for positioning:

- **Local fit beats foreign prestige.** 87% of Gen Z and Millennial respondents use domestic skincare (Populix 2025), and 73% of women in a Jakpat survey said local products suit their skin better. A Korean brand must prove it is *made for tropical, humid skin*, not just imported.
- **Ingredients sell.** Products with ingredient keywords such as niacinamide, retinol and vitamin C in their titles had 56% higher sales across 38,000 brands studied by Compas — listing copy is a growth lever, not admin.
- **Weather moves demand.** Compas observed a sharp sunscreen spike in October 2023 during a heatwave; campaigns should be ready to react to UV and heat news.
- **Daily habit is the gap.** Only ~35% of women apply sunscreen daily. Textures that sit well under makeup and in humidity (tone-up, serum, mist for reapplication) convert occasional users.

4. Competitive landscape

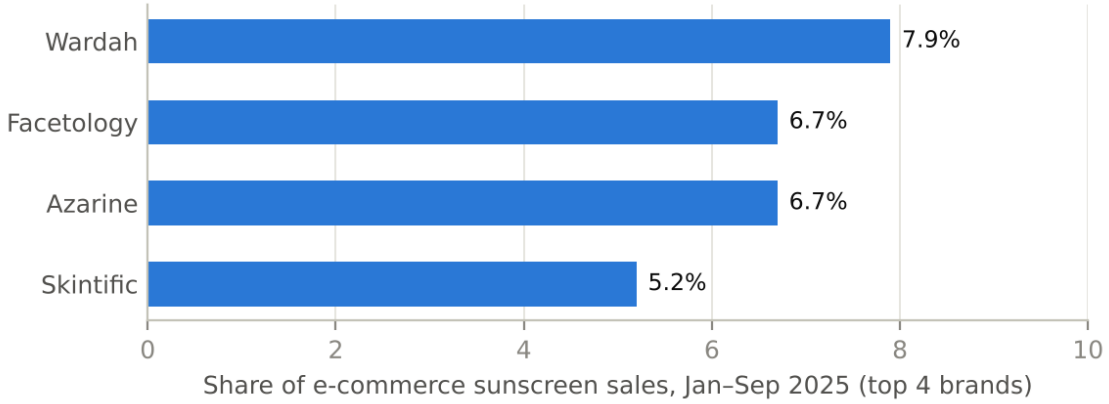


Figure 5 — Top sunscreen brands by share of e-commerce sales, Jan–Sep 2025 (top four combined: 26.5%; Compas analysis of Shopee, TikTok Shop, Tokopedia, Lazada and Blibli, via GoodStats). On Shopee in Q2 2026 the leaders were Wardah 10.4%, Facetology 7.5%, Azarine 6.3%.

The category is **led by local brands but not concentrated**: the top four hold about a quarter of sales and the rest is a long tail. Brand positions shift quarter to quarter, which shows how much creator content and promotions move share.

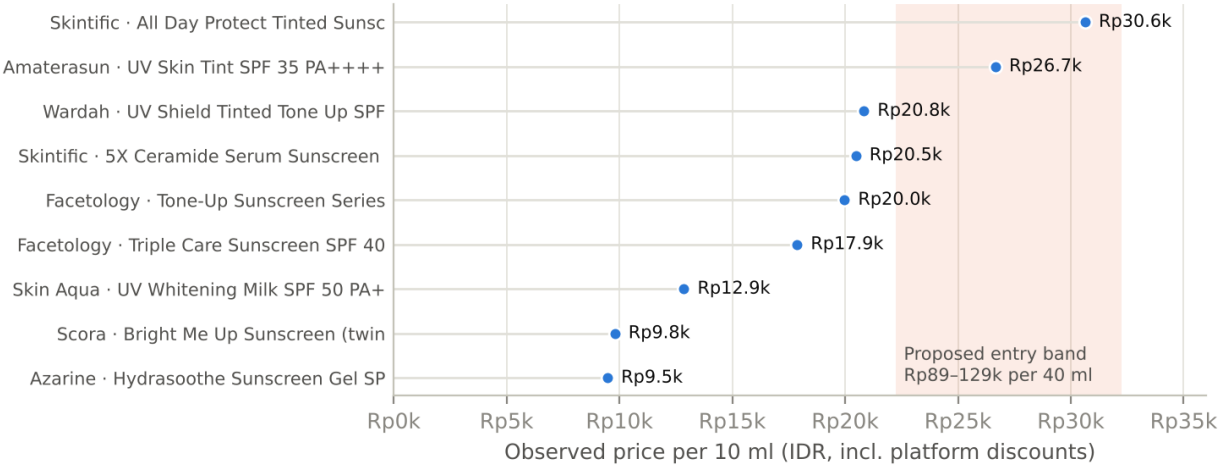


Figure 6 — Observed prices per 10 ml for best-selling SKUs on Lazada and Tokopedia (2026 listings, incl. platform discounts; multi-packs divided per unit; two sizes assumed). Snapshot, not an audit — verify before pricing.

Leaders compete at **Rp10k–21k per 10 ml** and use twin packs to push price per unit lower. Tinted and skin-tint formats (Skintific, Amaterasun) already sell at Rp27k–31k per 10 ml, which is the space a K-beauty entrant can credibly occupy.

Competitor	Edge	Weak spot for an entrant to exploit
Wardah	Halal pioneer, offline + online reach, wide SPF range	Mass positioning; less 'trend' credibility with Gen Z
Azarine	Price leadership, K-pop ambassador, twin packs	Low price leaves little room for premium story
Facetology	Fast growth since 2022, makeup-like finish	Concentrated in a few hero SKUs
Skintific	TikTok-first playbook, science claims	Same playbook is copyable; competes in the same premium-mass band

5. Where to sell

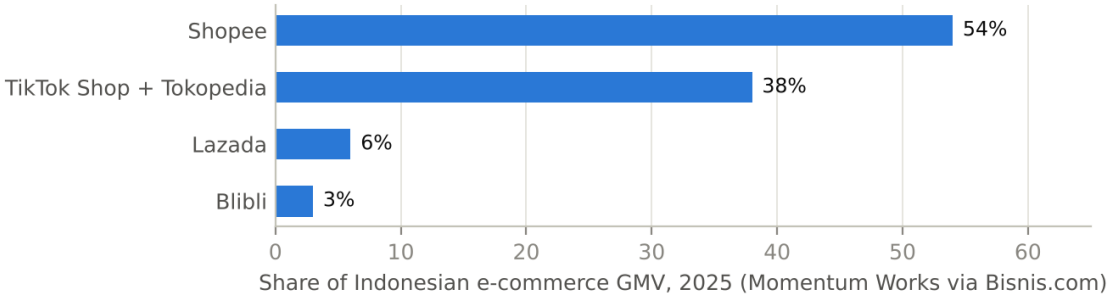


Figure 7 — Share of e-commerce GMV by platform, 2025 (Momentum Works via Bisnis.com, 16 May 2026).

- **Shopee Mall** is the default: it led beauty e-commerce sales in every Compas cut we found, and in 2025 it held 74.5% of local-brand beauty bundle sales.
- **TikTok Shop** (merged with Tokopedia) is the discovery engine: Shop|Tokopedia grew 59% in 2025, the fastest of any platform (Compas). Launch with affiliate creators and live selling, not only paid ads.
- **Offline** (Watsons, Guardian, Sociolla stores) adds trust and trial but needs distributor margins and inventory — phase 2.
- **Campaign calendar:** Ramadan, 11.11, 12.12 and payday dates drive a disproportionate share of beauty sales; Compas specifically advises brands to use double-date campaigns.

6. Regulatory path

Requirement	What it means for the client	Status / timing
BPOM cosmetic notification	Needed before importing, advertising or selling. Foreign manufacturers cannot register directly — a local legal entity or appointed registrant files it.	Mandatory now. Budget several months; start first.
Halal certification (BPJPH)	Applies to imported and local cosmetics. Certification must come from BPJPH or a recognised foreign halal body; ingredients and suppliers are reviewed.	Deadline 17 Oct 2026, enforced from 18 Oct (BPJPH confirmed on 16 Sep 2026). On 16 Oct 2026 a proposed extension to 17 Oct 2028 was announced — not yet formally published.
Labelling & claims	Indonesian-language label, BPOM number, halal logo; SPF/PA claims must be supported by tests.	Before first shipment.
Enforcement climate	BPOM has seized over 2 million unregistered cosmetics, mostly imports — grey-market entry is not an option.	Ongoing.

Because the halal deadline may move, the recommendation does not depend on it: certify before launch. It removes legal risk and matters commercially in a market where the category leader (Wardah) built its brand on halal.

7. Recommended go-to-market plan

Positioning: "Korean UV science, made for Indonesian heat" — a lightweight, tone-up SPF50+ PA++++ that stays matte in humidity, halal certified, tested on Indonesian skin. Hero SKU 40 ml at **Rp109k** (launch band Rp89k–129k), plus a reapplication mist in phase 2.

Phase	Months	Actions	Exit KPI
0. Compliance	–6 to 0	Appoint local registrant/distributor; BPOM notification; halal certification; Indonesian SPF/PA and humidity wear tests; label localisation.	BPOM + halal approved
1. Online launch	1–6	Shopee Mall + TikTok Shop official stores; 150–300 micro/mid creators on affiliate commission; ingredient-led titles; sampling sachets in orders; launch on a double-date campaign.	Rating ≥ 4.8, repeat rate ≥ 20%, CAC payback < 3 orders
2. Scale	7–18	Live selling; second SKU (mist or skin tint); Watsons/Guardian in Jakarta, Surabaya, Bandung; reviewer program.	Top 15 in Shopee sunscreen; ≥ 1% online share
3. Expand	19–36	Outside Java (Medan, Makassar); men's line; bundles with moisturiser.	Year-3 revenue US$1.2M

KPIs to track monthly: GMV by platform, share of category (Compas or similar), conversion rate, CAC by channel, repeat purchase within 60 days, rating and review volume, creator-attributed sales, stock cover of the hero SKU.

8. What the result depends on

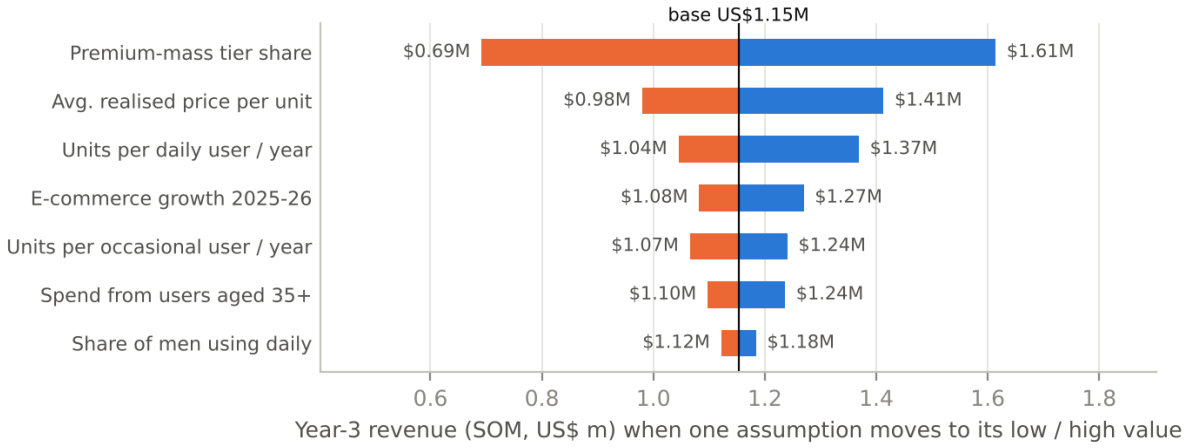


Figure 8 — One-at-a-time sensitivity of year-3 revenue (base case US$1.2M). Bars show the range when each assumption moves to its low/high value (data/assumptions.json).

The answer is most sensitive to **premium-mass tier share** (US$0.7M–US$1.6M) and to **avg. realised price per unit**. Both can be measured cheaply before committing: a two-week marketplace audit of SKUs priced Rp80k–130k, and a 300-person online survey on units bought per year.

9. Risks and mitigations

Risk	Likelihood	Mitigation
Local brands respond with price cuts and twin packs	High	Do not compete on price; compete on texture, tone-up and proof. Use bundles, not discounts, during campaigns.
Registration or halal approval takes longer than planned	Medium	Start Phase 0 immediately; choose a registrant with cosmetic track record; prepare ingredient halal documentation from suppliers.
Creator marketing costs rise / audience fatigue	Medium	Affiliate (commission) model first; track CAC weekly; build owned channels (WhatsApp community, reviews).
Formula fails in humidity / reviews flag white cast	Medium	Local wear tests before launch; small first batch; fast reformulation loop.
Exchange-rate swings squeeze imported margins	Medium	Price in IDR with a buffer; review quarterly (model uses Rp17,300/US$).
Counterfeits and parallel imports	Medium	Official stores only; anti-counterfeit labels; report infringing listings.

Methodology and limitations

- Desk research only; no primary survey. Brand shares come from Compas e-commerce tracking reported by GoodStats and partners, and exclude offline retail.
- Price observations are a small snapshot of 2026 marketplace listings including discounts; two pack sizes were assumed.
- The e-commerce share of purchases (68%) is a Jakpat figure cited in an academic thesis (secondary source).
- The bottom-up and top-down estimates differ by 41%; the true value is more likely inside that range than at the midpoint.
- All calculations are reproducible: `python analysis/market_model.py`.

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